APL Inclusion – Alternative Investments

Barwon Global Listed Private Equity Fund
APIR: PIM7967AU

Summary

The **Barwon Global Listed Private Equity Fund AF** ("the Fund") is an actively managed, long-only global strategy providing listed access to private equity exposures via a diversified portfolio of 20–25 high-conviction holdings. The Fund invests in the Barwon Global Listed Private Equity Fund, which targets companies involved in buyouts, private debt, and alternative asset management, diversified across geographies, vintages, and deal stages. The Fund aims to outperform listed equities by 3% p.a. over the medium term while offering daily liquidity and avoiding the typical J-curve associated with traditional PE. Atchison believes classifying this as a growth alternative meaningfully strengthens the APL's exposure to illiquidity premia and global private capital trends.

APL Fit

The Barwon Global Listed Private Equity Fund AF offers a differentiated entry to the alternatives sleeve of the APL, delivering global private equity exposure through a listed and liquid structure. By investing in publicly traded companies engaged in private equity buyouts, private debt, and alternative asset management, the Fund provides investors with access to the return and diversification benefits of private markets without the liquidity constraints typically associated with traditional private equity.

The strategy enhances the alternatives offering by combining private equity-style returns with daily liquidity and low fees. Its high-conviction portfolio of 20–25 holdings and bottom-up valuation approach ensures focused exposure to quality assets with strong growth trajectories. The strategy's structural avoidance of the J-curve and its strong long-term track record — delivering 12.3% p.a. since inception — make it well-suited for portfolios seeking higher growth alternatives with efficient capital deployment.

Inclusion in the alternatives sleeve improves diversification and enables more liquid access to global private capital themes, with exposure across geographies, vintages, and deal stages. Atchison sees this as a compelling complement or as a standalone growth alternative.

Fund Overview

- **Manager:** Barwon Investment Partners
- **Fund Inception Date:** 4 June 2020
- **Firmwide Assets Under Management:** $3.5 Billion+ (as at 30/04/2025)
- **Investment Strategy:** The Fund's investment strategy is to invest substantially all of its assets in the Underlying Fund, which invests in listed private equity. Index unaware, bottom up, high-conviction portfolio.
- **Benchmark:** Absolute return target. The Funds performance fee is charged in relation to a hurdle rate which is the high of 12% p.a.

Business

Barwon Investment Partners is a Sydney-based specialist fund manager focused on alternative investments across healthcare property, real estate credit, and private equity. Founded in 2006 by Rob Morrison and Sam Armstrong, the firm remains privately owned by its partners, ensuring strong alignment with clients. The firm's investment philosophy centres on the belief that alternative markets are less efficient than traditional asset classes, offering opportunities for superior risk-adjusted returns through active management. Barwon employs a research-intensive approach, emphasising fundamental value, disciplined execution, and efficient transaction management. Its investment strategies are diversified across geographies, vintages, and deal stages, providing clients with access to a broad spectrum of alternative assets.

Team

The Fund is managed by Barwon's experienced private equity team, led by Portfolio Managers Bob Liu, Lisa Swanton, and James Brown, each bringing extensive experience in listed private capital markets. They are supported by Investment Analysts Sargunn Sahota and James Mirabito. Atchison values the team's deep domain expertise, global manager networks, and disciplined bottom-up investment process. The collaborative nature of the team fosters robust debate and thorough due diligence, enabling the identification of mispriced opportunities in inefficient listed private equity markets. Their consistent execution and long-standing track record underpin Atchison's confidence in the team's ability to generate sustainable, risk-adjusted returns.

Process

THe Fund employs a disciplined and value-oriented investment process designed to capture the long-term return potential of private equity via listed markets. This process is grounded in Barwon's philosophy of identifying fundamentally attractive private equity-backed businesses that are mispriced due to market inefficiencies, low analyst coverage, or structural dislocations.

Idea generation begins with screening a global universe of over 750 listed securities exposed to private equity, including listed private equity firms, business development companies, closed-end funds, and investment holding companies. This is combined with thematic research focused on private capital flows, GP performance, and macroeconomic trends shaping private equity activity. Potential investments are assessed through detailed bottom-up research, seeking businesses with transparent underlying portfolios, consistent NAV growth, conservative leverage, and high-quality management.

Each security must pass a series of qualitative screens focused on private equity alignment, liquidity profile, discount to NAV, capital deployment discipline, and diversification across geographies, deal vintages, and sponsors. Barwon places a strong emphasis on governance quality and the alignment of interests between managers and shareholders. The team closely monitors NAV progression, distribution yield, and secondary market discounts to determine entry and exit points. The final portfolio consists of 20–25 high-conviction positions, with allocations tilted toward securities trading at a discount to intrinsic value and exhibiting catalysts for re-rating—such as corporate activity, strong deployment cycles, or structural market tailwinds.

The final portfolio is constructed across four key opportunity sets: listed private equity firms focused on buyouts, publicly listed companies backed by private equity sponsors, private debt investment vehicles, and alternative asset managers with direct exposure to private capital markets.

This methodical approach allows the Fund to deliver private equity-like returns with daily liquidity, capturing the benefits of private capital growth without lockups or capital calls. The combination of rigorous due diligence, manager access, and tactical flexibility underpins Barwon's ability to generate consistent outperformance through listed private equity exposure.

Fees and operational considerations

- **Management Fee:** 1.53%
- **Performance Fee:** 15% above a hurdle rate of 12% p.a. with a high-water mark and no reset.
- **Liquidity:** Daily applications and redemptions.
- **Platform availability:** CFS, BT, Netwealth, Powerwrap, Praemium, Hub, Asgard
- **Responsible Entity:** The Trust Company

Performance – April 2025

NAV Price	1 Month	3 Months	1 Year	3 Years p.a.	ITD p.a.	Fund Inception
$1.4460	3.3%	-7.3%	0.4%	8.6%	12.3%	4-Jun-20

Since inception in June 2020, the Fund has delivered a strong annualised return of 12.3% p.a., underpinned by disciplined stock selection and consistent exposure to global private equity opportunities. While recent one-year and three-month performance has been weaker due to market volatility and widening discounts in listed private equity vehicles, Atchison views this as a favourable entry point. Importantly, the Fund's performance fee mechanism ensures that no incentive fees will be payable until prior highs are regained, creating alignment and a cost-effective opportunity for new investors. Atchison maintains high conviction in the strategy's ability to deliver differentiated returns across market cycles.